

Amendment No. 1 to SB1099

Gardenhire
Signature of Sponsor

AMEND Senate Bill No. 1099

House Bill No. 878*

by deleting the language after the enacting clause and substituting:

SECTION 1. Tennessee Code Annotated, Section 40-24-107(a), is amended by adding the following as new subdivisions:

(7) On a quarterly basis, at the request of the state treasurer, clerks of the various courts shall report the following to the commissioner of revenue and the state treasurer in such a manner as may be prescribed by the commissioner of revenue or the state treasurer, for persons subject to the imposition of a privilege tax pursuant to this section:

(A) The amount of privilege tax collected in the aggregate for the quarter;

(B) The amount of privilege tax remitted to the department of revenue in the aggregate for the quarter; and

(C) On a per case basis:

(i) The amount of privilege tax suspended, released, waived, remitted, or not collected; and

(ii) The reason for the privilege tax suspension, release, waiver, remittance, or failure to collect the privilege tax, including, but not limited to, whether the collection of the tax was waived by a court order or the court clerk.

(8) At the request of the state treasurer, clerks of the various courts shall submit the following to the state treasurer relative to the privilege tax collected under this section:

(A) A copy of the court's written waiver policy or procedure, if any;

(B) A description of how and with what frequency defendants are notified of the obligation to pay the privilege tax, including, but not limited to, a copy of the initial and follow-up communications with the defendant and a copy of the court's written policy or procedure for notifying defendants;

(C) A description of the use of a collection agency or other third-party providers to collect unpaid privilege taxes, including, but not limited to, the number of defendants who have had their unpaid privilege tax sent to a collection agency with the unpaid amounts on a per defendant basis;

(D) A description of other privilege tax collection efforts used by the courts or court clerks, including, but not limited to, promissory notes or payment plans;

(E) A description of the court clerk's efforts in complying with subsection (b); and

(F) Any other information or documentation requested by the state treasurer.

SECTION 2. Tennessee Code Annotated, Section 67-4-605(a), is amended by deleting the subsection and substituting:

(a) Any privilege tax imposed by § 67-4-602 that the clerk of the court fails to collect and pay to the department of revenue is a debt of the clerk. For purposes of this section, "clerk of the court" includes the clerks for the courts listed in § 67-4-604.

SECTION 3. Tennessee Code Annotated, Section 67-4-605(c), is amended by deleting the subsection and substituting:

(c) On a quarterly basis, at the request of the state treasurer, a clerk of the court shall report the following to the commissioner of revenue and the state treasurer in such a manner as may be prescribed by the commissioner of revenue or the state treasurer, for persons subject to the imposition of a privilege tax pursuant to § 67-4-602:

- (1) The amount of privilege tax collected in the aggregate for the quarter;
- (2) The amount of privilege tax remitted to the department of revenue in the aggregate for the quarter; and
- (3) On a per case basis:
 - (A) The amount of privilege tax suspended, released, waived, remitted, or not collected; and
 - (B) The reason for the privilege tax suspension, release, waiver, remittance, or failure to collect the privilege tax, including, but not limited to, whether the collection of the tax was waived by a court order or the court clerk.

SECTION 4. Tennessee Code Annotated, Section 67-4-605, is amended by adding the following as a new subsection:

- (d) At the request of the state treasurer, a clerk of the court shall submit the following to the state treasurer relative to the privilege tax collected under this part:
 - (1) A copy of the court's written waiver policy or procedure, if any;
 - (2) A description of how and with what frequency defendants are notified of the obligation to pay the privilege tax, including, but not limited to, a copy of the initial and follow-up communications with the defendant and a copy of the court's written policy or procedure for notifying defendants;
 - (3) A description of the use of a collection agency or other third-party providers to collect unpaid privilege taxes, including, but not limited to, the number of defendants who have had their unpaid privilege tax sent to a collection agency with the unpaid amounts on a per defendant basis;
 - (4) A description of other privilege tax collection efforts used by the courts or court clerks, including, but not limited to, promissory notes or payment plans; and

(5) Any other information or documentation requested by the state treasurer.

SECTION 5. This act takes effect upon becoming a law, the public welfare requiring it, and applies to the imposition and collection of privilege taxes on or after July 1, 2026.